

EABL 1H21 Earnings Note

EABL announced a **47.4% y/y decline** in **net earnings** to **KES 3.8B** higher than our projection of a 25% y/y drop on the back of dismal performance in 1H21 due to the impact of the prevailing COVID-19 pandemic that saw containment measures implemented see a fall in sales by the brewer. However, the groups performance improved in comparison to the 2H20 due to measures taken by the government in the gradual reopening of the economy with cessation of movement halted, reopening of bars and restaurants and the introduction of social gatherings.

Falling volumes see top line decline 3.0% y/y

EABL's revenue declined 3.0% y/y to KES 44.5B premised on a 5.0% y/y drop in sales volume. However, 1H21 net sales improved 53% in comparison to 2H20 net sales due to higher sales volume fueled by the gradual reopening of the economy that saw cessation of movement halted and the resurgence of social gatherings. Resumption of economic activities also saw improved household income further boosting the increase in sales in comparison to 2H20.

Tanzania registers persistent growth

Net sales in Kenya declined 10% y/y driven by a 29% drop in growth by Senator Keg and a 14%y/y drop in growth by bottled beer. Uganda saw a 13% y/y growth despite bars remaining closed. Tanzania continued to stand out as the brewer's fastest growing market with back-to-back double-digit growth in net sales registering a 17% y/y growth driven by double digit growth in premium and mainstream beer segments while seeing improved performance in the spirits category. This was further boosted by Tanzania's government lax restrictions on containment measures.

Closure of bars hurts Senator growth

The closure of bars has continued to hurt the Senator Keg value chain hurting volume growth since the category does not have a take-away option. This saw the category deteriorate 29% y/y. Growth in the spirits category remained resilient growing 10% y/y while bottled beer saw growth remain flat y/y supported by innovation of distribution measures that saw the introduction of scanned beer sales to consumers.

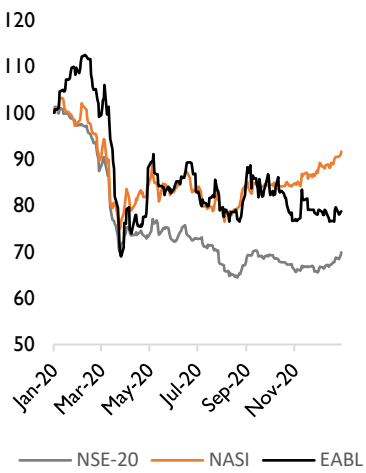
Looking ahead

Premised on continued economic recovery in FY21, we anticipate an improvement in the group's performance fueled by the continued rejuvenation of business activities hence improved household income. With the anticipation of vaccination against COVID in East Africa expected to start in 2H21, we expect full reopening of bars, restaurants and social gatherings that are expected to drive sales volume. The brewer may however continue to be affected by a continuously changing tax regimes with the introduction of a digital tax in Uganda, and the plan by the Kenyan government to introduce the same which may eat into the bottom line.

We maintain a BUY recommendation on EABL at a target price of KES 188.20 offering a potential upside of 24.8% on the current price of KES 150.75.

29th January 2020	
Target Price:	**KES 188.20**
Current Price:	**KES 150.75**
Upside:	**24.8%**
Interim Dividend:	**NIL**
52 Week Low:	**KES 135.00**
52 Week High:	**KES 230.00**

EABL vs Indices



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Table 2: Financial Statements

Income Statement	1H20 KES M	2H20 KES M	1H21 KES M	Chng y/y %	Chng h/h %
Revenue	45,856	29,060	44,460	(3.0)	53.0
Cost of Sales	(24,013)	(17,883)	(25,127)	4.6	40.5
Gross Profit	21,843	11,177	19,333	(11.5)	73.0
Total Costs	(11,241)	(11,124)	(13,497)	20.1	21.3
Profit before tax	10,602	53	5,836	(45.0)	10911.3
Income Expenses	(3,393)	(241)	(2,044)	(39.8)	748.1
Profit after tax for the year	7,209	(188)	3,792	(47.4)	
EPS (KES)	7.00	1.88	4.80	(31.5)	155.3
Statement of Financial Position					
Total equity	17,924	13,993	11,993	(33.1)	-14.3
Non-current liabilities	38,527	43,621	43,442	12.8	-0.4
Total equity and non-current liabilities	56,451	57,614	55,435	(1.8)	-3.8
Non-current assets	60,756	62,690	65,337	7.5	4.2
Current assets	32,612	25,986	31,520	(3.3)	21.3
Current liabilities	(36,917)	(31,044)	(41,422)	12.2	33.4
Net assets	56,451	57,614	55,435	(1.8)	-3.8
Statement of Financial Cashflows					
Cash generated from operations	15,158	(1,522)	17,889	18.0	
Net interest paid	(1,841)	(1,964)	(1,915)	4.0	-2.5
Tax paid	(4,390)	(2,095)	(1,973)	(55.1)	-5.8
Net cash from operating activities	8,927	(5,581)	14,001	56.8	-350.9
Net cash used in investing activities	(4,652)	(3,678)	(8,995)	93.4	144.6
Net cash generated from/(used) in financing activities	(4,714)	(644)	(3,719)	(21.1)	477.5
Net increase / (decrease) in cash & cash equivalents	(439)	(9,903)	1,287	(393.2)	
At start of year	12,469	-	1,729	(86.1)	
Cash and cash equivalents at end of period	12,092	(10,363)	2,531	(79.1)	
Ratios					
Operating profit margin (%)	23.1	0.2	13.1		
Net margin (%)	15.7	(0.6)	8.5		
Return on assets (%)	13.1	(0.3)	6.7		
Return on Equity (%)	42.3	(1.2)	29.2		
Current ratio	0.9	0.8	0.8		
P/E (x)			**31.4**		
P/B (x)			**9.9**		

Source: AIB-AXYS Research



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